



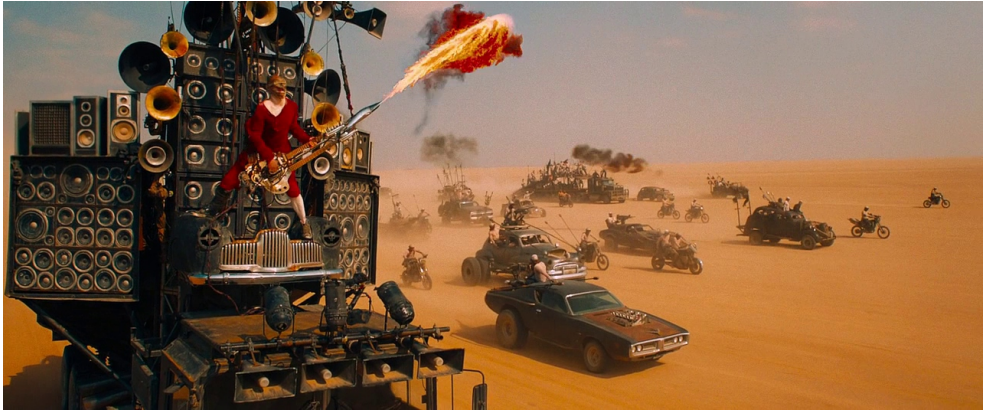
Hamilton School for
Classical and Civic Education
UNIVERSITY *of* FLORIDA

Is Anarchy So Bad?

Order Without the State
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Louis Rouanet

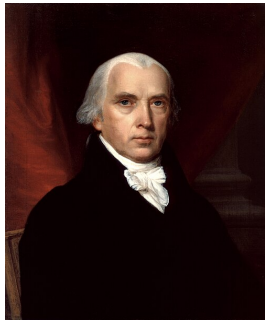
Fall 2026



Mad Max: Fury Road (2015).

Madison, *Federalist* No. 51, 1788

"If men were angels, no government would be necessary. If angels were to govern men, neither external nor internal controls on government would be necessary. In framing a government which is to be administered by men over men, the great difficulty lies in this: you must first enable the government to control the governed; and in the next place oblige it to control itself."



James Madison
(1751–1836)

Jean-Baptiste Say, *Cours à l'Athénée*, 1819

“Government is not an essential part of the social organization. Note that I do not say that government is useless; I say that it is not essential; that society can exist without it. [...] In Kentucky—that new province formed beyond the Allegheny Mountains in the United States—there are townships where a family first settles; then another in the first one’s vicinity; then a third; eventually, villages take shape; houses are built and children are raised; they are clothed and fed very well—better than many households can manage on Rue Jean-Pain-Mollet—and yet, oh! the tragedy of it! there is no government. [...] I did not, then, take too great a risk in telling you that one could conceive of a society without government; one can do more than conceive of it—one can see it: the only difficulty is the journey itself.”



Jean-Baptiste Say
(1767–1832)

The Polynesian, Honolulu, on the news of gold, 1848

“The gold regions of California will be a theater of tragic events—the scene of bloodshed and strife. The Sun never yet shone on a more motley crowd than will be assembled there. We tremble for the result upon the morals of the people and the peace of the country. In the confusion which must prevail there for the next 12 months, the law will be powerless, rights will be disregarded, reason dethroned and brute force will reign triumphant.”



California gold miners, c. 1850

- ▶ **Mining camps**: nearly 200 written camp contracts survive. One claim per miner, a five-man jury, a dispute “brought to trial within half an hour”: “the reported incidence of violence was remarkably low.”
- ▶ **Wagon trains**: 300,000 emigrants crossed the plains 1840–1860, and “nearly every group adopted constitution-like agreements” before leaving: an elected, removable captain and a three-arbiter clause for disputes.
- ▶ **Cattlemen’s associations and land clubs** registered claims and shut non-members out of the roundup: exclusion, not the six-gun, enforced the range.
- ▶ The 1851 Civil Practice Act and the Mining Laws of 1866 and 1872 codified what the camps had already written ⇒ **the law was established on previous norms maintaining order, not the other way round.**

Source: Anderson, Terry L. and Peter J. Hill. (2004). *The Not So Wild, Wild West: Property Rights on the Frontier*. Stanford UP.

- ▶ *An-arkhia*: without a ruler. **Anarchy is the absence of a state**, not the absence of order.
- ▶ The colloquial sense (anarchy = chaos) smuggles Hobbes's conclusion into the definition: it assumes that without a state there is no order $\Rightarrow$ this is an empirical question.
- ▶ **Governance** (enforceable rules) does not necessarily require government $\Rightarrow$ A state is only one way of supplying them.

Max Weber, *Politics as a Vocation*, 1919

"A state is a human community that (successfully) claims the monopoly of the legitimate use of physical force within a given territory."



Max Weber
(1864–1920)

- ▶ If you drop “legitimate,” then **no state exists**: none has ever eliminated the use of force by others (the sicilian mafia, gangs, etc.).
- ▶ If you keep it and read “legitimate” as “legal,” then the definition is **circular**: until we know which organization is the state, we do not know which rules count as laws.
- ▶ Read it as “morally legitimate” and we are no longer describing states but judging them $\Rightarrow$ a different question.

Source: Friedman, David D. (2008). “Order Without the State: Theory, Evidence, and the Possible Future Of.” Santa Clara University, ms.

- ▶ Barzel defines the state as the **ultimate** third party, the enforcer above which there is no enforcer.
- ▶ The **scope of the state** is the set of violence-backed third-party-enforced agreements.

Source: Barzel, Yoram. (2002). *A Theory of the State*. Cambridge UP, ch. 1.

- ▶ **Hobbes** (*Leviathan*, ch. 13): no. “Where there is no common power, there is no law; where no law, no injustice.” Rights are the sovereign’s creation.
- ▶ **Locke**: yes thanks to the “law of nature.” $\Rightarrow$ Locke never truly explains what makes a natural right hold when no one enforces it.
- ▶ **Friedman**: yes $\Rightarrow$ The mechanism is that rights are Schelling point.



- ▶ When players cannot communicate, they converge on the outcome that is **unique** or **conspicuous**: a focal point (Schelling, 1960).
- ▶ Friedman's game: you and a stranger each pick one of 2, 5, 9, 25, 69, 73, 82, 96, 100, 126, 150. $\Rightarrow$ you are paid only if you pick the same. $\Rightarrow$ Almost everyone picks 100.
- ▶ "Split it fifty-fifty" or "the stream between our two farms." become Schelling points because every other division is one of infinitely many and there is an incentive to avoid costly conflict.

David Friedman, "A Positive Account of Property Rights," 1994

"If my neighbor annoys me by growing ugly flowers, I do nothing. If he dumps his garbage on my lawn, I retaliate—possibly in kind. If he threatens to dump garbage on my lawn, or play a trumpet fanfare at 3 A.M. every morning, unless I pay him a modest tribute, I refuse—even if I am convinced that the available legal defenses would cost more than the tribute he is demanding."



David D. Friedman
(b. 1945)

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- ▶ A **right** is a **mutually recognized commitment strategy**: it is the red line people know will trigger a response if crossed.
- ▶ One puzzle is that what is just, what is legal and what is efficient coincide far more often than chance would allow.

David Friedman, *Order Without the State*, 2008

“We may define a state or government [...] as an organization against which those commitment strategies do not hold. Most of us are willing to bear substantial costs defending ourselves from a private robber or an attempt by another individual to enslave us, even briefly. Few of us are willing to bear similar costs to defend ourselves from a tax collector or mandatory jury service.”

“The laws and customs of civil society
are an elaborate network of Schelling points.”

David Friedman, “A Positive Account of Property Rights,” 1994

UF | Who owns the whale?



Melville, *Moby-Dick*, 1851, ch. 89

"It frequently happens that when several ships are cruising in company, a whale may be struck by one vessel, then escape, and be finally killed and captured by another vessel [. . .] Thus the most vexatious and violent disputes would often arise between the fishermen, were there not some written or unwritten, universal, undisputed law applicable to all cases. [. . .] The American fishermen have been their own legislators and lawyers in this matter. [. . .] I. A Fast-Fish belongs to the party fast to it. II. A Loose-Fish is fair game for anybody who can soonest catch it."



Herman Melville
(1819–1891)

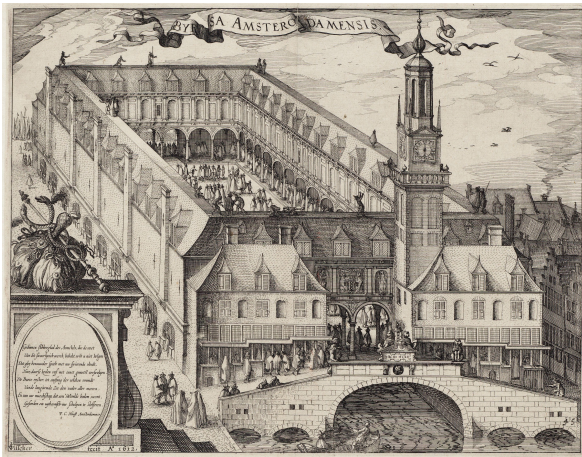
- ▶ **Fast-fish, loose-fish** (Greenland right whales: slow, docile, the line to the boat holds): whoever is fast to the whale owns it, whoever is not has nothing. A bright line that rewards the first harpooner.
- ▶ **Iron holds the whale** (sperm whales: fast, deep-diving, in schools): the first iron in the animal gives the claim while the chase is fresh, so boats strike as many as they can and sort it out later.
- ▶ **Fifty-fifty** (drogued whales in the Galápagos): the ship that fetters the whale and the ship that kills it split it, “the simplest focal point for a split.”
- ▶ No statute, no court: in a century a dozen reported cases, and in every one the judge deferred to the usage $\Rightarrow$ the norms did not mimic the law, they **created** it.

Source: Ellickson, Robert C. (1989). “A Hypothesis of Wealth-Maximizing Norms: Evidence from the Whaling Industry,” *Journal of Law, Economics, & Organization* 5(1), 83–97.

- ▶ The commercial revolution of the 11th and 12th centuries: merchants trading across hundreds of jurisdictions with no sovereign in common $\Rightarrow$ a law spontaneously developed, the **Law Merchant**.
- ▶ Their own courts at the fairs and market towns: judges drawn from the merchants, no appeals, a dispute settled before the fair moved on.
- ▶ The sanction was **ostracism**. A London merchant who broke a contract with a Cologne merchant at a fair in Milan and refused the award was no longer traded with, anywhere.
- ▶ The crown absorbed the Law Merchant once it offered to enforce it for free (Coke, 1606) $\Rightarrow$ again, the law followed the order.

Source: Benson, Bruce L. (1990). *The Enterprise of Law: Justice Without the State*. Pacific Research Institute.

- ▶ **Bilateral** reputation: if you cheat me, I stop dealing with you.
- ▶ **Multilateral** reputation: if you cheat me, everyone stops dealing with you.
- ▶ It works when the value of future dealings exceeds the one-shot gain from cheating and the news travels $\Rightarrow$ reputation is a bond posted in every trade.
- ▶ What is needed is **information** about past behavior.



- ▶ The Dutch East India Company, 1602: 1,130 investors in the Amsterdam chamber alone, and dividends averaging 22.5% a year for 120 years.
- ▶ The 1608 crash $\Rightarrow$ the edict of February 1610 outlawing short sales and forward contracts, renewed in 1621, 1623, 1624, 1630, 1636 and 1677.
- ▶ The courts would not enforce a time bargain: a loser could “appeal to Frederick” and walk away from his contract.
- ▶ Yet forwards, options and fractional shares flourished among a thousand brokers who were not kin, not co-religionists, and often strangers.

Joseph de la Vega, *Confusión de Confusiones*, 1688

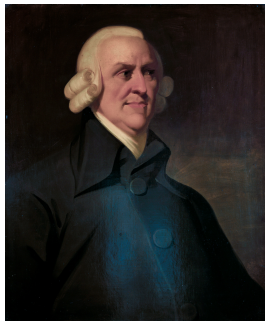
“Nobody changes the decisions which he makes in his momentary passion, and his words are held sacred even in the case of a price difference of 50 per cent; and, although tremendous business is done by the merchants without the mediation of brokers who could serve as witnesses, no confusion occurs and no quarrels take place. [...] Such honesty, co-operation, and accuracy are admirable and surprising.”



The Amsterdam Beurs, c. 1670

Adam Smith, *Lectures on Jurisprudence*, 1766

"Of all the nations in Europe, the Dutch, the most commercial, are the most faithful to their word. [...] This is not at all to be imputed to national character, as some pretend. [...] It is far more reduceable to self interest [...] A dealer is afraid of losing his character, and is scrupulous in observing every engagement. When a person makes 20 contracts in a day, he cannot gain so much by endeavouring to impose on his neighbours, as the very appearance of a cheat would make him lose."

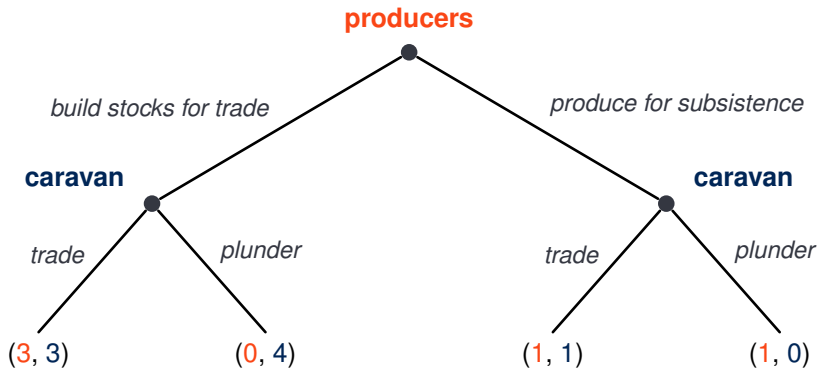


Adam Smith
(1723–1790)

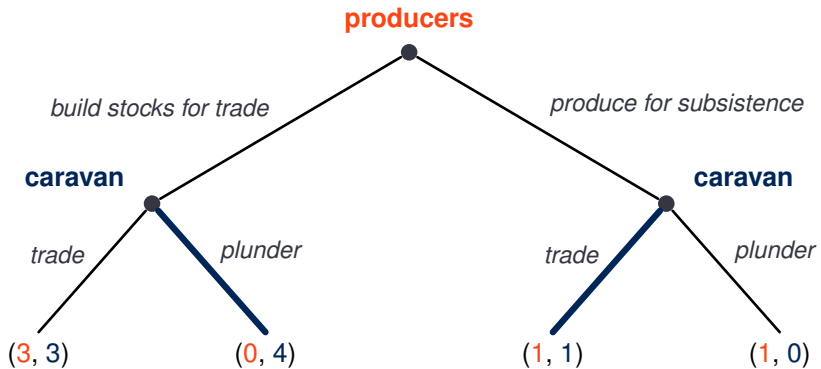
- ▶ 1696: an act against stockjobbers; brokers are expelled from the Royal Exchange and set up in **Jonathan's coffeehouse**.
- ▶ 1734: an act “to prevent the infamous Practice of Stock-jobbing” makes time bargains, options and margin trades unenforceable. The trades continue.
- ▶ A defaulter is a **lame duck**: he waddles out of Jonathan's, and his name is chalked on the board so that no one deals with him again.
- ▶ 1762: 150 brokers rent Jonathan's for themselves at £8 a year; 1801: a balloted Subscription Room whose first rule is “every defaulter ceases to be a member” ⇒ the club is the court and expulsion is the sentence.

Source: Stringham, Edward P. (2015). *Private Governance: Creating Order in Economic and Social Life*. Oxford UP, chs. 4–5.

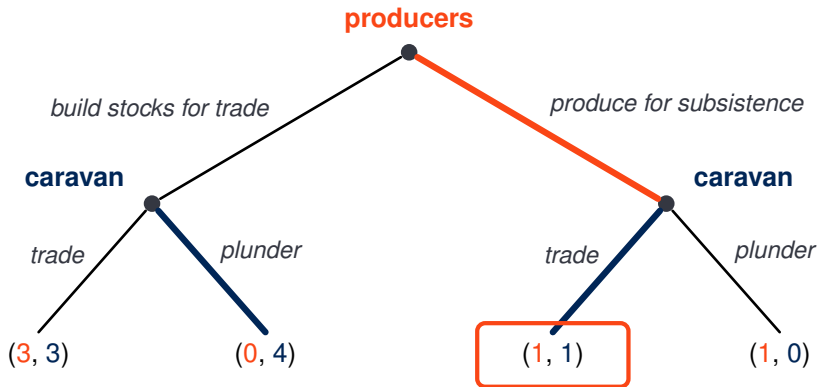
- ▶ West-central Africa, 1850–1900: caravans of seventy or eighty **armed** middlemen carry cloth, gin and guns inland to stationary, **unarmed** villages producing ivory, wax and rubber.
- ▶ No sovereign anywhere: “there are no such things as nations or kingdoms in the interior of Africa” (Livingstone).
- ▶ Ostracism fails here. “Boycott doesn’t prevent stronger persons from simply taking what they want” (Leeson) $\Rightarrow$ why did the caravans trade at all?



Ordinal payoffs (producers, caravan). Stocks built for trade can be taken; subsistence stocks are hidden and not worth the raid.

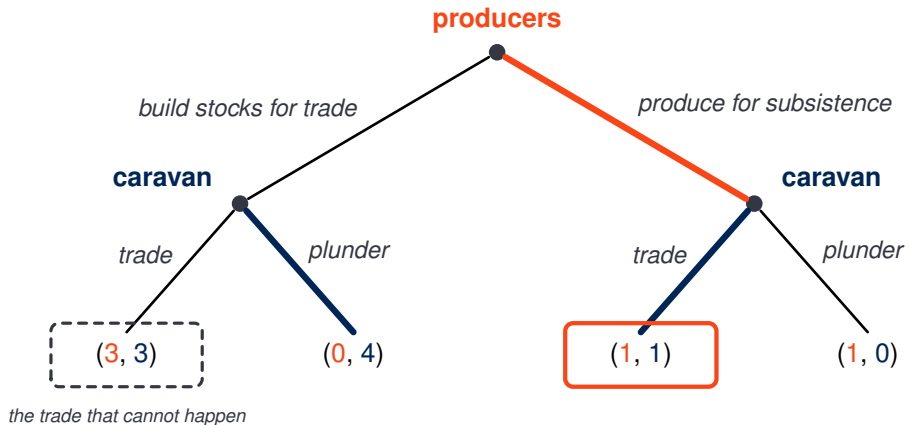


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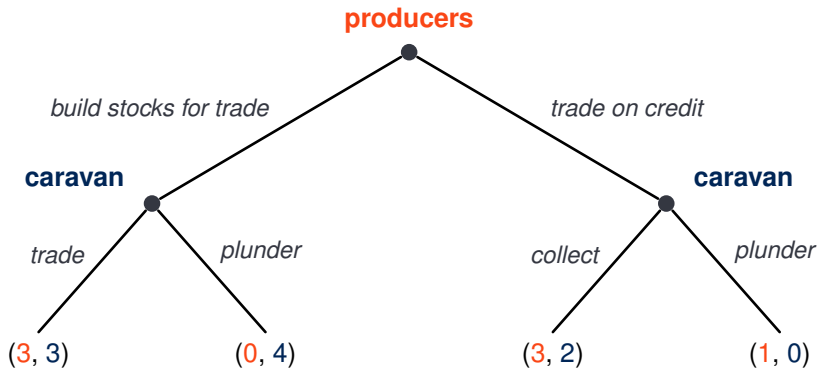


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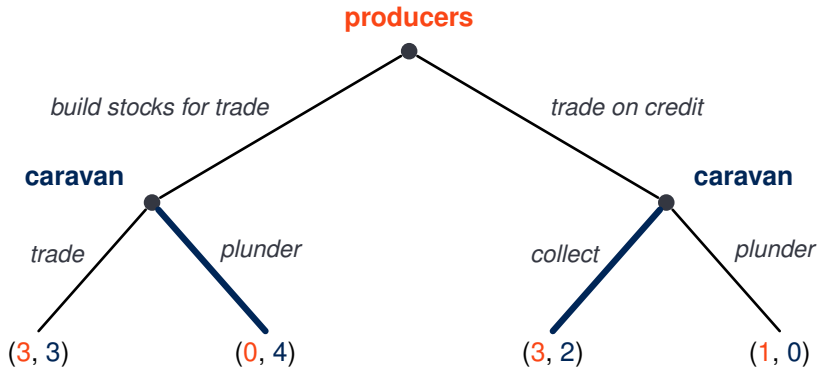
UF | The threat of violent theft



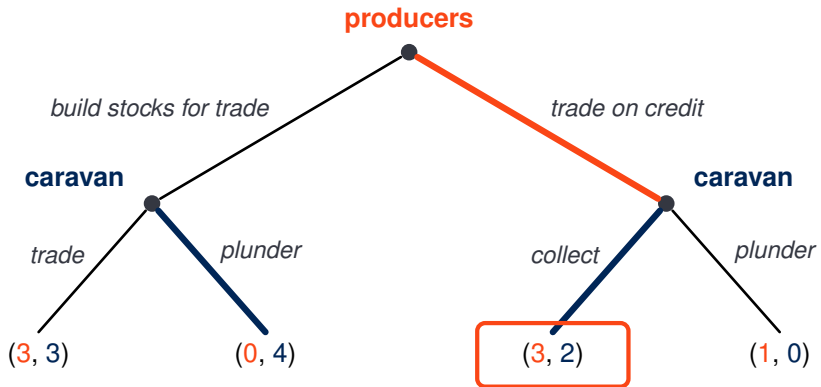
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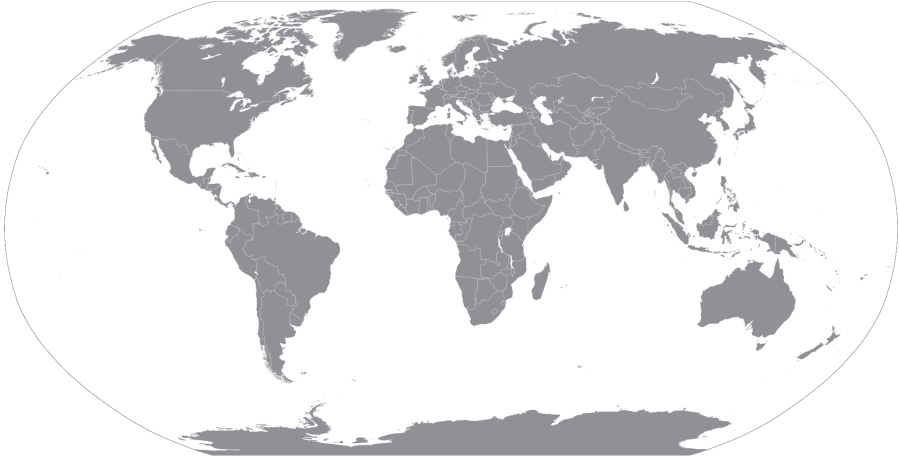
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- ▶ The advances (drink, cloth, tobacco) are consumed at once, so they cannot be stolen back.

Source: Leeson, Peter T. (2014). *Anarchy Unbound: Why Self-Governance Works Better Than You Think*. Cambridge UP, ch. 4.



Murray Rothbard, *Power and Market*, 1970

“And once one concedes that a single world government is not necessary, then where does one logically stop at the permissibility of separate states? If Canada and the United States can be separate nations without being denounced as being in a state of impermissible ‘anarchy,’ why may not the South secede from the United States? New York State from the Union? New York City from the state? Why may not Manhattan secede? Each neighborhood? Each block? Each house? Each person? But, of course, if each person may secede from government, we have virtually arrived at the purely free society, where defense is supplied along with all other services by the free market and where the invasive State has ceased to exist.”

- ▶ The **nirvana fallacy** (Demsetz, 1969): comparing a real institution with an ideal one, and finding the real one wanting.
- ▶ The usual comparison is anarchy as it is against government as it ought to be: the worst anarchy against a state that has never existed.
- ▶ We should compare a society under anarchy with the same society under the government it actually had, before or after $\Rightarrow$ the **relevant** alternatives.

- ▶ Let H be social wealth with a government enforcing trade, L social wealth under self-enforced trade, G the cost of the government. Government is worth having only if

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- ▶ **Small $H - L$ anarchy**: the Nuer, the Tiv, the Eskimo had little to trade and a state would have bought them little. Statelessness lasted for centuries because it was efficient.
- ▶ **Big G anarchy**: the international arena. Nine in ten international contracts carry a private arbitration clause; a government over eight billion people would cost more than it could add $\Rightarrow$ the world is in anarchy, and efficiently so.

Source: Leeson, Peter T. (2007). "Efficient Anarchy," *Public Choice* 130(1–2), 41–53.

- ▶ Rothbard's argument treats government as all or nothing $\Rightarrow$ if one world government is unnecessary, so is every state, down to the individual.
- ▶ But G rises with size and heterogeneity, and $H - L$ rises with the thickness of the market $\Rightarrow$ the efficient jurisdiction is where the **marginal cost** of one more member meets its **marginal benefit**.
- ▶ That stops somewhere between the person and the planet.

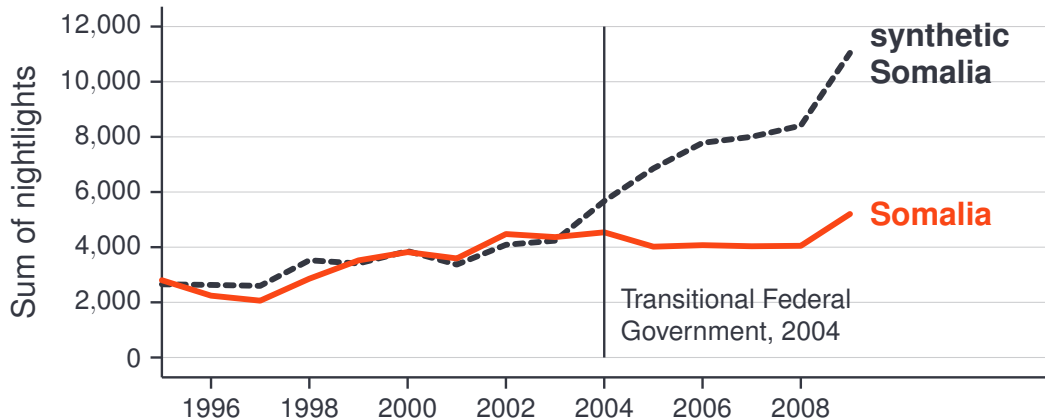
- ▶ 1969: Major-General Siad Barre takes power in a coup and proclaims **scientific socialism**.
- ▶ 1975: all land and most industry nationalized.
 - ▶ A 1986 election won with 99.9%.
 - ▶ “Gossip” is made a capital offense.
 - ▶ One of the worst human-rights records in Africa (UNDP).
 - ▶ Hyperinflation, foreign aid at 58% of GNP, etc.
- ▶ January 1991: the state collapses. The same year, 400,000 Somali refugees come home from Ethiopia.

UF | Somalia before and after the state

Indicator	1985–90	2000–05
Life expectancy (years)	46.0	48.5
Infant mortality (per 1,000)	152	115
Maternal mortality (per 100,000)	1,600	1,100
Extreme poverty (% under \$1 a day)	60	43
Access to a health facility (%)	28	55
Access to sanitation (%)	18	26
Telephones (per 1,000)	1.9	14.9
Radios (per 1,000)	4.0	98.5
Adult literacy (%)	24	19

Source: Leeson, Peter T. (2007). "Better Off Stateless," *Journal of Comparative Economics* 35(4), 689–710.

- ▶ What collapsed was the predator. The result was *more* order:
 - ▶ **xeer**: the customary law of the clans, and its courts.
 - ▶ **dilaal**: brokers who certify that cattle are not stolen $\Rightarrow$ dispute resolution which is cheap and fast.
 - ▶ Fourteen private airlines by 1997. Some of the best telephone network in Africa. etc.
- ▶ A constrained government might do better still, but this wasn't the type of government that collapsed.
- ▶ The three worst spikes of violence after 1991 came with the three attempts to re-impose one.



Note: sum of satellite nightlights, 1995–2009, Somalia against a weighted composite of 27 developing countries fitted to Somalia before 2004. Bonneau, Hall and Zhou (2022), *Public Choice* 190, Fig. 1.

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- ▶ The same premise, read the other way: if men are knaves, **why hand some of them a monopoly on force?** The knaves do not vanish when they take office.
- ▶ What needs to be compared are knaves under anarchy vs knaves under a Leviathan or under a limited government.



1 Samuel 8:11–18

“This is what the king who will reign over you will claim as his rights: He will take your sons and make them serve with his chariots and horses [...] He will take your daughters to be perfumers and cooks and bakers. He will take the best of your fields and vineyards and olive groves and give them to his attendants. He will take a tenth of your grain and of your vintage [...] He will take a tenth of your flocks, and you yourselves will become his slaves. When that day comes, you will cry out for relief from the king you have chosen, but the Lord will not answer you in that day.”

1 Samuel 8:19–20

“But the people refused to listen to Samuel. ‘No!’ they said. ‘We want a king over us. Then we will be like all the other nations, with a king to lead us and to go out before us and fight our battles.’”

- ▶ **Voting with your feet** (Tiebout, 1956): jurisdictions compete for mobile residents as firms compete for customers.
- ▶ A ruler who over-taxes or under-delivers loses his tax base to the next town over ⇒ exit disciplines government without a ballot, and without the state's consent.
- ▶ The resident **and what he owns**, must be able to leave.

- ▶ The main asset of the Middle Ages was **land**, and land does not cross a border. A serf could run; his wealth could not.
- ▶ So competition between lords disciplined them little: the threat of exit is only as strong as what the exiting party can take along.
- ▶ The rule: the more durable and immovable the asset, the weaker the exit and the stronger the ruler $\Rightarrow$ cash and human capital flee, farms and mines stay and pay.



Très Riches Heures, March
c. 1412–16